No. 18-0918

In The

Supreme Court of the United States

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,
Petitioner,

V.

MILTON WEINBERG,
Respondent,

On Writ of Certiorari to the
United States Court of Appeals
For the Thirteenth Circuit

BRIEF FOR PETITIONERS

Team 49
Counsel for Petitioners

QUESTIONS PRESENTED

I. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the Backstreets Plowing prior to the petition date.

II. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code.

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OPINIONS BELOW

The Thirteenth Circuit's opinion is reported at Vin Sant v. Weinberg (In re Backstreets Plowing, Inc.), Slip Op. (13th Cir. Mar. 5, 2018). Both the district court's opinion and the bankruptcy court's opinion are unpublished.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS INVOLVED

The primary statutory provisions involved in this case are 11 U.S.C. § 362(a)(3) and 11 U.S.C. § 503(b).

STATEMENT OF THE CASE

Backstreets Plowing, Inc. ("Backstreets Plowing") is a snow plowing business established in the city of Badlands. It is owned and operated by Christopher Clemons ("Clemons"). To stay competitive by lowering maintenance and fuel costs, Backstreets Plowing was required to purchase new snow plows trucks. Clemons approached Milton Weinberg, an acquaintance through his bowling club, to secure $450,000 needed for the purchase of the snowplow trucks. Weinberg agreed to loan Clemons the sum. The loan was secured by a security interest granted to Weinberg on the snow plow trucks and a personal guarantee signed by Clemons. Pursuant to the promissory note, repayment was scheduled to commence once the plowing business began generating revenue in December 2015. In October 2015, the parties experienced a non-business-related dispute, after which the Clemons and Weinberg did not speak to each other for quite some time.

After the purchase of the snow plow trucks in August 2015, Backstreets Plowing entered into a flat-rate contract with the city of Badlands for the 2015-2016 plowing season. The contract proved profitable for Backstreets Plowing due to a mild winter with little snowfall, which resulted in lower than expected fuel and labor costs. Even so, Backstreets Plowing failed to begin payment on its trucks.

Weinberg attempted to contact Clemons in February 2016 regarding the missed payments. After several unanswered phone calls, Weinberg drove to the Backstreets Plowing's facility and an argument erupted. Backstreets Plowing's drivers removed Weinberg from the facility and Weinberg subsequently filed suit against Backstreets Plowing in April 2016 in the

State of Moot Circuit Court located in Asbury Park County. Weinberg sued Clemons in the same lawsuit to collect on his personal guarantee as well.

In October 2016, Weinberg obtained a default judgment against both Backstreets Plowing and Clemons, jointly and severally, for $450,000 plus interest and fees.

Unlike the previous winter, the 2016-2017 plowing season was an especially bad one. Backstreets Plowing's costs were not covered by the payments from the City of Badlands, resulting in substantial losses. To make matters worse for Backstreets Plowing, Weinberg began his efforts to collect on his judgment in January 2017. Weinberg hired a repossession company, E Street Auto Recovery, to retrieve the snow plow trucks. E Street successfully repossessed the trucks from the Backstreets Plowing's parking lot in late January 2017. The trucks were delivered to a warehouse owned by Weinberg, where they currently remain pending this appeal.

Without the snow plow trucks, Backstreets Plowing was unable to fulfill its plowing contract with the City of Badlands. The city threatened to cancel its contract with Backstreets Plowing and sue Backstreets Plowing for damages.

A. Backstreets Plowing's Chapter 11 Bankruptcy Filing.

To mitigate the damages and salvage its business, Backstreets Plowing filed a chapter 11 bankruptcy on February 4, 2017. Subsequently, Backstreets Plowing's lawyers sent Weinberg a letter demanding that the snow plow trucks be returned immediately. Weinberg did not return the snow plow trucks. He testified during bankruptcy court that Backstreets Plowing had the burden to bring forth a turnover action. This way, Weinberg could demand adequate protection from the Backstreets Plowing.

In response to Weinberg's failure to turn over the snow plow trucks, Backstreets Plowing filed a motion asking the court to determine whether Weinberg's continued retention of the

trucks constituted a violation of the automatic stay under section 362(a)(3). The bankruptcy court found that Weinberg's retention of the snow plow trucks did not constitute a violation of the automatic stay, and Backstreets Plowing subsequently appealed.

B. Backstreets Plowing's Conversion from Chapter 11 to Chapter 7.

Shortly after filing the appeal, Backstreets Plowing received news that the City of Badlands would not be renewing the plowing contract for the following winter. Running low on cash and the offseason starting, Backstreets Plowing converted the chapter 11 case to a chapter 7 case. A Trustee was appointed on April 13, 2017 to administer and liquidate Backstreets Plowing's bankruptcy estate. The Backstreets Plowing's current appeal was stayed by the Bankruptcy Appellate Panel to provide the Trustee time to become familiar with the case.

About a month after the Backstreets Plowing's case conversion, Weinberg began efforts to collect his judgment on Clemons' personal guarantee. In his attempts to collect on the personal guarantee judgment from Clemons, Weinberg hired a collection firm that conducted an examination of Clemons in May 2017. Through that examination, it was discovered that shortly after the initial litigation began, $100,000 was transferred from the Backstreets Plowing to the bank account of Clemons' daughter, Patti. Weinberg spent $25,000 investigating the transfer. Weinberg proceeded to voluntarily provide information to the Trustee of Backstreets Plowing's bankruptcy estate about this transfer, including testimony to establish that the transfer was voidable as a fraudulent transfer. The Trustee subsequently sued Patti Clemons in an adversarial proceeding and quickly settled for $75,000. After court approval of the settlement, Weinberg filed a motion requesting the $25,000 he spent be considered a substantial contribution administrative expense pursuant to § 503(b). The Trustee acknowledged that Weinberg made a substantial contribution to the estate. Nevertheless, administrative expenses for substantial

contributions are not permissible in a chapter 7 bankruptcy case pursuant to 503(b)(3)(D) which limits such expenses to chapter 9 and 11. The bankruptcy court granted Weinberg's motion. The Trustee timely appealed.

C. Petitioner's Continued Appeal to the Bankruptcy Appellate Panel and the Court of Appeals for the Thirteenth Circuit

In September 2017, the Trustee received a letter from a competitor of Backstreets Plowing, Tenth Avenue. Tenth Avenue offered to purchase substantially all of the Backstreets Plowing's assets with the hope of continuing Backstreets Plowing's business and renegotiating with the City of Badlands for the snow plowing contract. The Tenth Avenue offer was contingent on the Trustee's immediate possession and conveying title of the snow plow trucks.

The Trustee recognized that the assets were worth more as a "going concern" versus selling them individually. In an effort to maximize the recovery for the creditors, the Trustee attempted to negotiate the recovery of the snow plow trucks from Weinberg. Weinberg refused to release the trucks and, subsequently, the Trustee continued the pending litigation against Weinberg for its alleged violation of the automatic stay.

Tenth Avenue promptly cancelled their offer in November 2017 when it became clear that the Trustee would not be able to convey title to the snow plow trucks before the beginning of the winter plowing season. An additional interested party, Stone Pony, offered $100,000 less than Tenth Avenue offered for the Backstreets Plowing's assets, with the exclusion of the snow plow trucks. The bankruptcy court approved the sale in February 2018.

Trustee continued its efforts to maximize the value of the bankruptcy estate to the benefit of creditors. In doing so, the Trustee has continued its appeal of the automatic stay issue to recover additional damages from Weinberg for the difference between the offer from Tenth Avenue and sale proceeds received from Stone Pony. The Trustee also proceeded with the

substantial contribution appeal. With the consent of both parties, the two appeals were consolidated before the bankruptcy appellate panel. The appellate panel confirmed both issues. The Trustee timely appealed to the Court of Appeals for the Thirteenth Circuit, where the court affirmed both issues. Trustee now appeals to this Court.

SUMMARY OF THE ARGUMENTS

A. Violations of the Automatic Stay

The Bankruptcy Code promises numerous pathways to give a debtor a fresh start—to breathe more freely as he navigates the processes of reorganization or liquidation. To effectuate that, the debtor must get instant reprieve from creditors' claims made against him. Section 362 of the Bankruptcy Code codifies that protection by outlining the automatic stay. Within the provision, Congress contemplates and prohibits certain actions that might be taken by self-interested creditors that work to disadvantage the debtor's effective reorganization or maximized liquidation.

Variations in statutory interpretation yielded two readings—a majority approach and a minority approach—of the automatic stay as it relates to property acquired by a creditor prior to the petition for bankruptcy protections. The interoperability between several Code sections draw different conclusions among the federal circuit courts of appeal. Both approaches rely upon application of the automatic stay stipulated in the 1983 Supreme Court opinion from *United States v. Whiting Pools, Inc.* 462 U.S. 198 (1983). In that case, the Court held that the definition of property of the estate includes property in which debtor no longer has a possessory interest. In 1984, Congress enlarged the application of the automatic stay. After 1984, whenever there is

"any act to obtain possession of property of the estate . . . or to exercise control over property of the estate," a creditor has violated the stay. § 362(a)(3).

The majority approach reads the addition of acts which exercise control over property of the estate as an automatic, affirmative obligation acting upon a creditor in possession of estate property, even if lawfully acquired prior to the debtor's petition for bankruptcy petition. For the majority, *Whiting Pools* stood for the proposition that an estate includes a broad range of property, including property made available to it through any other Code provision. § 542 obligates a creditor to turn over property to the estate, except in explicit circumstances. The interplay between §§ 362 and 542 create a creditor's automatic obligation to return property to the bankruptcy estate, bringing it within the § 541 property of the estate.

The minority approach does not find such interoperation between §§ 362, 541, and 542. Instead, it contends that Congress had every opportunity to choose its words in a way that would do more than possibly imply that the automatic stay should apply to property acquired prepetition. Further, the minority finds no persuasive argument for the link between § 542 commanding a creditor to turn over property to the estate, which prevents it from becoming property of the estate under § 541. The minority additionally explains that the Bankruptcy Code contemplates protections for creditors as well, including § 363 adequacy of protection as a means to defend their interests against otherwise compulsory turnover.

Regardless of statutory interpretation, the result is the same. Under the majority approach, Weinberg must return the trucks under simple operation of law. Backstreets Plowing filed for bankruptcy protection and it received the cover of the automatic stay. *Whiting Pools,* the 1984 Amendments, and §§ 542 and 541 work together to create a mandate. Weinberg shall deliver the trucks to the estate or violate the automatic stay. Weinberg resisted his obligation to

return the trucks and so violated the stay. Under the minority approach, Weinberg may return the trucks, but is not automatically obligated to do so. However, when he commits "any act . . . to exercise control over property of the estate," he violates the stay. Weinberg frustrated the estate's reorganization and liquidation attempts by refusing to deal with the Trustee who had negotiated an advantageous deal with Tenth Avenue. He exercised control over the trucks, which were the linchpin of the sale, and so violated the stay. The Thirteenth Circuit should be reversed.

B. Administrative Expense For Substantial Contributions Are Not Permitted Outside A Chapter 9 Or 11 Bankruptcy Case.

The second issue before this court is whether Weinberg should be granted administrative expense status for his substantial contribution as a chapter 7 creditor under § 503(b)(3)(D). The courts are also currently split on this question based on the different types of factual, statutory, historical, and logical analyses undertaken by different circuits in the past. Section 503(b)(3)(D) explicitly allows administrative expenses for substantial contributions in chapter 9 and 11 bankruptcy cases. With the literal reading of statute, the majority approach denies administrative expenses for substantial contributions made in a chapter 7 case to preserve the statutory interpretation principles dictating that no words shall be rendered superfluous. Contrarily, the minority approach rests its position on what is not expressly forbidden by the statute and principles of equity.

Comparison of these competing positions on the ability to extend the parameters of § 503(b)(3)(D) ultimately demonstrates that administrative expenses for substantial contributions like those made by Weinberg in chapter 7 proceedings cannot be allowed under the statute. This conclusion comes from the court's task of balancing the need to protect the value that some creditors may provide to the estate in rare circumstances, against the need to adhere to the plain meaning of, and congressional intent behind § 503(b)(3)(D). Whereas some creditors in chapter

7 proceedings may be forced to take action based on the inability or negligence of a trustee that administers the estate, the fact remains that in this case, Weinberg's efforts were purely meant to serve his own interest in collecting on the Clemons' judgement, which would have allowed him to circumvent the bankruptcy proceedings and distributions entirely. This is the antithesis of what it means to preserve the value of the estate by way of a substantial contribution, which means that the Thirteenth Circuit's ruling must be reversed.

ARGUMENTS

I. The Court In The Thirteenth Circuit Court Of Appeals Erred When It Failed To Award Damages Relating To Either The Majority Approach "Passive Retention" Or The Minority Approach "Act … To Exercise Control" Violations Of An Automatic Stay

The majority in the Thirteenth Circuit Court of Appeals erroneously relied upon a Tenth Circuit opinion and its ilk to buttress a misguided premise for its statutory interpretation. *See, e.g., WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 950 (10th Cir. 2017) (stating that only "affirmative acts" to obtain or to control assets belonging to the debtor's estate are violations of the automatic stay); *In re Young*, 193 B.R. 620, 629 (Bankr. D.D.C. 1996) (holding that a creditor's retention of property obtained pre-petition did not violate the automatic stay). Therein, the Thirteenth Circuit signaled its affirmation of an application of statute held by a minority of circuit courts of appeal. The Thirteenth Circuit does so in contradiction to proper statutory interpretation.

Investigating the meaning of a statute must begin with the statute itself, and, if its meaning is plain, courts will enforce the statute according to its terms without further inquiry. *United States v. Ron Pair Enterprises, Inc.*, 489 U.S. 235 (1989). Indeed, the Thirteenth Circuit

professes these values when it restates its mandate from the Supreme Court to "presume that a legislature says in a statute what it means and means in a statute what it says there. . . . When the words of a statute are unambiguous, then this first canon is also the last: 'judicial inquiry is complete.'" *Conn. Nat. Bank v. Germain*, 503 U.S. 249, 254 (1992) (internal citations omitted).

Appellant argues that Thirteenth Circuit misinterpreted and, therefore, misapplied 11 U.S.C. § 362, 11 U.S.C. § 363, and 11 U.S.C. § 542. And, even if the Court determines that the Thirteenth Circuit correctly applied the minority approach, Clemons argues that Weinberg still violated the automatic stay when he exercised control over possessions rightfully belonging within the estate. Under 11 U.S.C. § 362(h), "[a]n individual injured by any willful violation of a stay provided by this section shall recover actual damages, including costs and attorney's fees, and, in appropriate circumstances, may recover punitive damages."

A. Courts Of Appeal Have Developed Two Divergent Interpretations Of The Statutory Language That Outlines Violations Of The Automatic Stay Arising From Prepetition Repossession Of Estate Property

The automatic stay is tantamount to an injunction that takes effect upon a debtor's filing for bankruptcy protection, and the stay requires no notice to the creditors whose claims are stayed. *See* H.R. Rep. No. 95-595, at 174. The stay disallows certain formal and informal recoveries and claims against the debtor, including those against: (1) the debtor, (2) the property of the estate, and (3) property of the debtor defined in § 362(a). *See Local Loan Co. v. Hunt*, 292 U.S. 234, 244 (1934) ("One of the primary purposes of the Bankruptcy Act is to 'relieve the honest debtor from the weight of oppressive indebtedness, and permit him to start afresh free from the obligations and responsibilities consequent upon business misfortunes.'") (citing *Williams v. U.S. Fidelity & Guaranty Co.*, 236 U.S. 549, 554-55 (1915)); H.R. Rep. No.

95-595, at 340 (stating that the automatic stay prevents all collection efforts, harassment, and foreclosure actions against the debtor).

Despite its breadth of coverage, the automatic stay remains malleable. To protect creditors, the stay can be lifted, modified, and conditioned by the court in various circumstances. *See* 11 U.S.C. § 362(d) (stating that the creditor may apply for termination or modification of the stay). Congress designed § 362 to afford the greatest chance of success to a reorganizing or liquidating debtor while preserving the opportunity for creditors to be made as whole as possible. H.R. Rep. No. 95-595, at 340 (stating that the automatic stay is "one of the fundamental debtor protections" and "also provides creditor protection. Without it, certain creditors would be able to pursue their own remedies against the debtor's property.")

Statutory interpretation created a split among the circuits when questions arise regarding what constitutes a violation of the automatic stay under § 362(a)(3). *See, e.g.*, *In re Cowen*, 849 F.3d 943 (rejecting majority rule that the act of passively holding onto an asset constitutes exercising control over it in violation of § 362); *Weber v. Sefcu (In re Weber)*, 719 F.3d 72 (2d Cir. 2013) (upholding a lower court's ruling that "by declining to surrender the vehicle absent a turnover order and protection [lender] considered adequate, the lender wrongfully 'exercised control' over the vehicle" and willfully violated the automatic stay); *Thompson v. Gen. Motors Acceptance Corp.*, 566 F.3d 699 (7th Cir. 2009) (holding that a creditor who continued to hold collateral repossessed prepetition violated the automatic stay); *In re Young*, 193 B.R. 620 (Bankr. D.D.C. 1996) (concluding that no violation should be assessed to a creditor for retaining possession of debtor's vehicle pending resolution of adequate protection).

The circuit courts of appeal interpreted the plain meaning of § 362 in two distinct ways, creating a "majority approach" and a "minority approach." *Id.* Congressional updates to the

Bankruptcy Code in 1984 gave rise to the two approaches by including language which now prohibits "any act to obtain possession or property of the estate or of property from the estate *or to exercise control over property of the estat*e." 11 U.S.C. § 362(a)(3) (emphasis added). The estate contains all property of the debtor "wherever located and by whomever held," including "all legal or equitable interest of the debtor in property" as of the commencement of the stay. 11 U.S.C. § 541(a)(1).

Indeed, the Tenth Circuit opinion upon which the court below leans most heavily states "[o]ur interpretation of the Bankruptcy Code starts where all such inquiries must begin: with the language of the statute itself." *In re Cowen*, 849 F.3d 943, 949 (citing *Ransom v. FIA Card Servs., N.A.*, 562 U.S. 61, 69 (2011)) (internal quotation marks omitted). The statute itself governs the enforcement of the law and ends the inquiry into its application, "for where, as here, the statute's language is plain, the sole function of the courts is to enforce it according to its terms." *Frieouf v. United States (In re Frieouf)*, 938 F.2d 1099, 1102-03 (10th Cir. 1991). However, interpretation of the statute's plain meaning of this 1984 addition developed into significant contention over Congressional intent to expand the terms of the automatic stay to reach passively retained property obtained prepetition by a secured creditor.

B. Under The Majority Approach, Creditors Have A Self-Executing Obligation To The Estate And Violate The Automatic Stay If They Fail To Promptly Turn Over Property Belonging To The Estate

The Second, Sixth, Seventh, Eighth, and Ninth Circuits adopt the majority approach, which concludes that passive retention of the debtor's estate property acquired prepetition is a violation of the automatic stay. *See, e.g., Weber v. SEFCU (In re Weber)*, 719 F.3d 72 (2d Cir.2013); *Thompson v. Gen. Motors Acceptance Corp., LLC*, 566 F.3d 699 (7th Cir.2009); *Cal. Emp't Dev. Dep't v. Taxel*, 98 F.3d 1147 (9th Cir. 1996); and *Knaus v. Concordia Lumber Co.,*

Inc. (In re Knaus), 889 F.2d 773 (8th Cir.1989); *see also Unified People's Fed. Credit Union v. Yates (In re Yates)*, 332 B.R. 1, 4 (B.A.P. 10th Cir.2005); *TranSouth Fin. Corp. v. Sharon (In re Sharon)*, 234 B.R. 676 (B.A.P. 6th Cir.1999).

The majority approach rests upon "[t]he 1984 Amendments, passed after the *Whiting Pools* decision in 1983, [which] broadened the already sweeping provisions of the automatic stay even further to prohibit expressly not only 'acts to obtain possession' of property of the estate, but also 'any act ... to exercise control over the property of the estate.'" *In re Weber*, 719 F.3d 72, 80 (citing Pub. L. No. 98–353, 98 Stat. 333, 371)**.** Applying the same standards of plain meaning and definitions noted above, control is defined as "[t]o exercise power or influence over; to regulate or govern; to have controlling interest in." Black's Law Dictionary (10th ed. 2014).

1. The Relationship Between §§ 362, 541, and 542 Creates A Self-Effectuating Obligation To Turnover Property To the Estate

In *Whiting Pools*, the Supreme Court sets forth the definition of § 541 property, as "a broad range" of property belonging to the estate, including "any property made available to the estate by other provisions of the Bankruptcy Code." 462 U.S. at 204-05. In cases where a creditor seized property prior to the petition for bankruptcy protection that the debtor or trustee can use, sell, or lease from the debtor's estate, the turnover provision of the Bankruptcy Code commands that the creditor relinquish such assets and property to the bankruptcy estate "unless such property is of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a). The Court went so far as to say that "[a]ny other interpretation of § 542(a) would deprive the bankruptcy estate of the assets and property essential to its rehabilitation effort and thereby would frustrate the congressional purpose behind the reorganization provisions." *Whiting Pools,* 462 U.S. at 208.

As noted above, § 541(a) lays out that the bankruptcy estate is comprised of "all legal and equitable interests in property as of the commencement of the case." The debtor retains at least an equitable interest in property repossessed prepetition under UCC 9-623, which governs the right to redeem collateral. *See Wornick v. Gaffney*, 544 F.3d 486, 490 (2d Cir.2008) ("Whether the debtor has a legal or equitable interest in property such that it becomes property of the estate under section 541 is determined by applicable state law"). The Court in *Whiting Pools* unequivocally states that § 542(a) "grants to the estate a possessory interest in certain property of the debtor that was not held by the debtor at the commencement of reorganization proceedings. The Bankruptcy Code provides secured creditors various rights, including the right to adequate protection, and these rights replace the protection afforded by possession." 426 U.S. at 207. In one swoop, the Supreme Court declares that the Bankruptcy Code acts upon the Uniform Commercial Code to convert mere equitable interest into possessory interest and, in the very next sentence, affords creditors adequate protection in lieu of possession.

By filing for bankruptcy protections, §§ 362(a)(3) and 542(a) work in conjunction to bring property into the § 541 estate. When a creditor repossesses collateral prepetition and passively retains such property, the creditor deprives the trustee of beneficial use of property belonging to the state. In so doing, the creditor violates the automatic stay by exercising control of estate property without court authority. *See Thompson*, 566 F.3d at 703 (holding that a creditor's "act of passively holding onto an asset constitutes 'exercising control' over it, and such action violates section 362(a)(3)").

C. Under The Minority Approach, Creditors Violate the Automatic Stay Only By An Act To Obtain Or An Act To Control Property Of The Estate

The minority approach, followed by the Thirteenth Circuit Court of Appeals, adopts a statutory interpretation that focuses on the activity of the creditor. The majority in the Thirteenth Circuit hones in on the requirement of "(i) an 'act' to obtain possession of property of the estate, and (ii) an 'act' to exercise control over property of the estate." *Vin Sant v. Weinberg (In re Backstreets Plowing, Inc.)*, slip op. at 11 (13th Cir. Mar. 5, 2018). For the minority approach that the Thirteenth Circuit propagates, the interpretation of § 362 turns on the definition and application of the word "act," which is nowhere defined within the statute and thus takes on its plain meaning. The court then applies this canon of construction defining "act" as "the process of doing something or performing." *Id*. (citing Black's Law Dictionary (9th ed. 2009)).

Further, followers of the minority contend that "Congress does not 'hide elephants in mouse holes.'" *In re Cowen*, 849 F.3d 943, 949 (citing *Whitman v. American Trucking Ass'ns*, 531 U.S. 457, 468 (2001)). If Congress meant for § 362 violations to apply to passive retention of property acquired prepetition, they had every opportunity to do so. Therefore, according to the minority approach adopted below, there can be no violation of the automatic stay when the alleged violation is merely an inaction. *See Cowen*, 849 F.3d at 949; *U.S. v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991).

1. The Relationship Between §§ 362, 363, and 542 Does Not Create a Self-Effectuating Obligation To Turn Over Property To the Trustee

The Thirteenth Circuit then turns its attention to the interaction between § 362 and two other provisions: (1) 11 U.S.C. § 363, which is the provision that authorizes a trustee to use, sell, or lease property of the estate, and (2) 11 U.S.C. § 542, which is the provision that allows the trustee in a bankruptcy to recover estate property "out of the possession of the debtor, yet remain[ing] 'property of the debtor'" as of the filing. *Inslaw*, 932 F.3d at 1471 (citing legislative history). It is conceded that debtor in chapter 11 proceedings acts as debtor-in-possession, which,

pursuant to 11 U.S.C. § 1101(1), vests him with same rights as the chapter 7 trustee per 11 U.S.C. § 1107(a).

The Thirteenth Circuit adopts a position that the statute colloquially known as the turnover provision, § 542, "contemplates that the turnover power is not self-effectuating." *In re Backstreets Plowing, Inc.*, slip op. at 11. The court argues, with support from other circuit courts adopting the minority approach, that § 542(a) "merely provides a procedure whereby a trustee can seek entry of an order compelling turnover of property of the estate that is held by another." *Id*. (citing *In re Hall*, 502 B.R. 650, 654-59 (Bank. D.D.C. 2014)) (analyzing the history and purpose of the turnover power). Furthermore, § 542(a) explicitly considers its own powers to be subject to § 363 limitations, which implies that it is both conditional and not self-executing. In relevant part, subsection (e) of § 363 protects interested third parties by providing that:

> Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest.

Whereas §§ 362, 363, and 542 operate together according to the minority approach, secured creditors in possession of collateral "would be forced to choose between: (i) immediately turning the property over, thereby potentially losing their possessory lien, or (ii) willfully violating the stay by retaining such property pending the determination of their rights." *In re Backstreets Plowing, Inc.*, slip op. at 13-14.

The minority approach states that this self-defeating interpretation is irreconcilable with statutory interpretation because "[i]t is an elementary rule of construction that 'the act cannot be held to destroy itself.'" *Citizens Bank of Maryland v. Strumpf*, 516 U.S. 16, 20 (1995) (citing *Texas Pacific R. Co*. v. *Abilene Cotton Oil Co.*, 204 U.S. 426, 446 (1907)). Instead, the

interaction between the Bankruptcy Code sections ought to be read as a countervailing protection for the creditor, requiring an affirmative act from the trustee to bring a turnover action that can be approved or denied by the court with or without conditions precedent to the turnover. In fact, the minority approach insists that the Supreme Court makes exactly this acknowledgement in stating that "[t]he Bankruptcy Code provides secured creditors various rights, including the right to adequate protection, and these rights replace the protection afforded by possession." *United States v. Whiting Pools, Inc.*, 462 U.S. 198 (1983).

D. Under The Majority Approach, Weinberg's Continued Passive Retention Of Property Belonging To The Estate Is A Violation Of The Automatic Stay Because He Has An Affirmative Obligation To Turnover Property Belonging To The Estate

The majority approach is a more faithful interpretation of the interplay between the relevant sections of the Bankruptcy Code, as amended in 1984. As laid out above, the Bankruptcy Code cross-references sections to give full effect to the protections it provides to debtors and creditors alike. Interestingly, the Thirteenth Circuit Court of Appeals cuts around an operative section of the § 542(a) turnover provision, which reads in full:

> Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, *shall deliver* to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(emphasis added). It is plain that Congress intended to command third parties to deliver property "in possession, custody, or control . . . unless such property is of inconsequential value or benefit to the estate." *Id.* Weinberg has an affirmative obligation to turn over the repossessed trucks to the estate. The trucks were within Weinberg's possession, and they were secured by a promissory note and a personal guarantee of $450,000. The trucks are not inconsequential. They

were an important component of the earlier chapter 11 reorganization attempt and subsequent liquidation effort after the voluntary conversion to chapter 7.

This obligation takes effect without the condition precedent of a court hearing or an entry of an order. *Compare* 11 U.S.C. § 542(a) ("shall deliver") *with* 11 U.S.C. § 542(e) ("after notice and a hearing, the court may order"). It is evident that Congress knew how to delineate between permissive and mandatory provisions. Where "Congress uses certain language in one part of a statute and different language in another, it is generally presumed that Congress acts intentionally." *Russello v. United States*, 464 U.S. 16, 23 (1983) (internal citation omitted).

The minority approach would have this Court believe that § 363 includes a mandate that provides an explicit limitation upon the power of the estate to recover property. *Whiting Pools* considered those limitations: "[1] when the property is of inconsequential value or benefit to the estate, § 542(a), [2] when the holder of the property has transferred it in good faith without knowledge of the petition, § 542(c), or [3] when the transfer the property is automatic to pay a life insurance premium, § 542(d)." 462 U.S. at 206, n. 12. Clearly, the express limitations the Supreme Court considered were themselves limited. The Court further explains, yet again, that Congress possessed the wherewithal to draft § 363 in such a way that it more strongly protected the creditor—by making adequate protection assurances self-executing as well. Congress did not do so. Instead, Congress required "the secured creditor's insistence," *Id.* at 204. The adequate protection provision again shows Congress knew the difference between permissive and mandatory language, and it elected not to place that constraint on the estate and chose to limit the creditor. Thus, Weinberg is not automatically afforded adequacy of protection that would shield him from his obligation to promptly turnover the trucks to the estate.

Furthermore, it is clear that the efficacy of bankruptcy itself would be frustrated if the Court resolved to adopt the minority approach. To require the estate to collect itself piecemeal is an absurd burden to place on a liquidating debtor attempting a fresh start or a reorganizing debtor floundering to preserve its going concern. Where the estate would need to bring adversary proceedings to reclaim possession of its own property, "the powers of a bankruptcy court and its officers to collect the estate for the benefit of creditors would be vastly reduced." *In re Del Mission Ltd.*, 98 F.3d 1147, 1151 (9th Cir. 1996) (quotation omitted). The minority approach would expand the protection of a secured creditor to the detriment of debtors everywhere. As in this case, Weinberg frustrated Clemons' reorganization efforts by withholding the tools of the trade, and Weinberg came between the Trustee and a successful liquidation sale to Tenth Avenue, which would have maximized the value for the estate.

> In essence, these creditors are making their own determination as to whether the debtor's proposed plan will be sufficient to provide the creditor with adequate protection of its interest in the collateral. This is contrary to the mandate of section 363 of the Code, which authorizes the Bankruptcy Court, rather than the creditor, to make this determination upon notice and a hearing. By forcing the debtor to initiate proceedings to recover a vehicle, which may be his or her sole source of transportation, the creditor may jeopardize the debtor's reorganization.

In re Rutherford, 329 B.R. 886, 891 (Bankr. N.D. Ga. 2005). Perhaps most egregiously, a creditor in Weinberg's position could annihilate any chance of a successful chapter 13 consumer debtor reorganization where the debtor requires the vehicle to earn the income which funds his plan. *See Thompson*, 566 F.3d at 702 ("An asset actively used by a debtor serves a greater purpose to both the debtor and his creditors than an asset sitting idle on a creditor's lot"). The Code automatically obligated Weinberg to promptly turnover the trucks to the estate when the automatic stay came into effect. The Code stipulates in § 362 that a violation of the stay will result from an act. An act can be either negative or positive. A negative act is "[t]he failure to do

something that is legally required; a nonoccurrence that involves the breach of a legal duty to take positive action." Black's Law Dictionary (10th ed. 2014). Weinberg failed to do something he was legally obligated to do. He did not turnover possession of Clemons' trucks to the estate. Weinberg violated the automatic stay.

E. Even If The Court Adopts The Minority Approach, Weinberg's Acts To Frustrate Clemons' Chapter 7 Liquidation Still Violate The Automatic Stay Because His Acts Exercised Control Over Property Belonging To The Estate During The Stay

In 1984, Congress decided to enlarge the scope of protection afforded by the automatic stay to include "any act … to exercise control over the property of the estate." *See* Pub. L. No. 98-353, 98 Stat. 333, 371. It is true that Weinberg did not commit an act to obtain property of the estate after the automatic stay. However, it is equally true that that Weinberg transgressed the automatic stay when he committed an act to exercise control over the estate during the time Backstreets Plowing's bankruptcy estate was protected. An act is "an occurrence that results from a person's will being exerted on the external world." Black's Law Dictionary (10th ed. 2014). Weinberg exerted his will when he obstinately refused to give back property belonging to the estate that would have closed a sale to Tenth Avenue. This was not a situation of a person who merely retained possession of property belonging to a bankruptcy estate. Weinberg's possession of the trucks gave him veto power over any negotiated sale of the trucks. Weinberg effectively substituted his own discretion regarding the sufficiency of the sale for that of the trustee and the court. That cannot be allowed; the law forbids it.

II. Section 503(b)(3)(D) Precludes Allowance Of An Administrative Expense For Making A Substantial Contribution In A Chapter 7 Case

The second issue before the court concerns the ability to grant creditors in chapter 7 cases priority administrative status regarding expenses accrued while making substantial contributions

to the bankruptcy estate. Administrative claim status is advantageous to creditors, as the Bankruptcy Code requires that these administrative expenses be paid in full before any disbursement of the estate is made to unsecured creditors. 11 U.S.C. § 507(a). Sections 503(b)(3) and 503(b)(3)(D) of the Bankruptcy Code allow courts to grant administrative expense status to creditors who incur actual and necessary expenses while making a substantial contribution in chapter 9 and chapter 11 cases.

Specifically at issue here is whether Weinberg, who made a substantial contribution to the Debtor's estate through his attorneys' discovery of a fraudulent transfer, should be granted administrative expense status regarding the $25,000 he paid to collect the Clemons[SS1] judgment. By adopting the Sixth Circuit's ruling in *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810 (6th Cir. 2015), the Thirteenth Circuit joined in the minority view of the nationwide circuit split on this issue, and applied its faulty statutory interpretation of § 503(b)(3)(D). The minority view provides bankruptcy judges the ability to liberally award administrative expense under a totality of the circumstances regime. However, facts of the case, precedent, legislative history of § 503(b), and policy concerns demonstrate that the majority view rests on stronger legal foundations than its counterpart. The Thirteenth Circuit's ruling on this issue must be reversed, and Weinberg's grant of $25,000 in administrative expenses must be revoked.

A. Administrative Expense for Substantial Contribution Under § 503(b)(3)(D) is only Authorized in Chapter 9 and Chapter 11 Cases

This Court's analysis of administrative expenses begins with the language and underlying meaning of § 503(b) and § 503(b)(3)(D) of the Bankruptcy Code.

The Thirteenth Circuit relied on the Sixth Circuit's totality of the circumstances approach in *Connolly* to award Weinberg the same privilege for his $25,000 in legal fees. *Connolly* held that § 503(b)(3)(D), under rare circumstances, allows for administrative expenses in chapter 7 proceedings,. Courts are currently split on whether the statute—which only lists chapter 9 and 11 proceedings as options for which administrative expense status may be sought—may nonetheless be extended to chapter 7 proceedings. In addition to the current circuit split, additional forces that speak against such an extension of § 503(b)(3)(D) include: (1) the origins of Weinberg's legal fees, (2) the legislative history of § 503, and (3) the policy implications arising from judicial interpretation of congressional intent. Despite the concession by the Trustee that Weinberg made a substantial contribution to the bankruptcy estate, the fact remains that Weinberg is ultimately ineligible for administrative expense status as a chapter 7 creditor.

Courts have reached different conclusions on whether an entity that is not specifically listed in § 503(b)(3)(D) nonetheless has standing to assert a substantial contribution claim. *See* 4 Collier on Bankruptcy P 503.10 (16th 2018). Section 503(b)(3)(D) provides that:

> (b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--
>
> > (3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--
> >
> > (D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under *chapter 9 or 11 of this title*

(emphasis added). By its terms, § 503(b)(3)(D) limits the award of administrative expenses for substantial contributions made by creditors to chapter 9 and chapter 11 bankruptcy proceedings. It is largely for this reason that several courts have held that only entities specifically enumerated

within § 503(b)(3) may have standing to request administrative expense status for any portion of their expenses.

The weight of authority directly supporting this conclusion comes from the Third circuit. *See Lebron v. Mechem Fin. Inc*., 27 F.3d 937, 945 (3d Cir. 1994) ("There are provisions of § 503 other than subsection (b)(3)(D) that authorize reimbursement of expenses incurred in connection with a chapter 7 proceeding, and we believe that post-conversion, expenses were intended to be reimbursable under those provisions or not at all"). *See also In re Engler*, 500 B.R. 163, 174 (Bankr. M.D. Fla. 2013); *In re Watson*, 495 B.R. 88, 95 (Bankr. D. Colo. 2013); *In re Hackney*, 351 B.R. 179, 201 (Bankr. N.D. Ala. 2006); *U.S. Trustee v. Farm Credit Bank (In re Peterson)*, 152 B.R. 612, 614 (D.S.D. 1993).

These courts' base their denial of administrative expenses on four basic considerations: the timing of requests for administrative expenses, the plain meaning of the statute, the legislative history of the statute, and congressional intent. Courts in *Lebron* and *Watson* reasoned that expenses incurred by creditors after the conversion from a chapter 11 to a chapter 7 proceeding cannot logically be claimed as "administrative" in proceedings under chapter 11. Courts in *In re Peterson*, *In re Engler*, and *In re Hackney* reached the same result by emphasizing the limiting nature of § 503(b)(3)(D) upon § 503(b)(3), the need to balance the value of the estate against the interests of creditors, and Congress' prolonged silence on the issue.

Likewise, indirect support for the argument that § 503(b)(3)(D) administrative expenses are not allowed in chapter 7 proceedings also comes from the Third Circuit. *See Suplee v. Bethlehem Steel Corp.* (*In re Bethlehem Steel Corp.*), 479 F.3d 167, 172 (2d Cir. 2007); *In re*

Lloyd Sec., Inc., 75 F.3d 853, 857 (3d Cir. 1996); *In re Fesco Plastics Corp., Inc*., 996 F.2d 152, 157 n.5 (7th Cir. 1993). *See also In re Fontainebleau Las Vegas Holdings, LLC*, 574 B.R. 895, 903 (Bankr. S.D. Fla. 2017); *In re Blount*, 276 B.R. 753, 764 (Bankr. M.D. La. 2002); *In re Am. Motor Club, Inc*., 125 B.R. 79, 82 (Bankr. E.D.N.Y. 1991) (Duberstein, J.). Though these cases mostly focus on other subsections of § 503(b) in pursuit of administrative expense awards, their message regarding § 503(b)(3) and § 503(b)(3)(D) is the same: an award of administrative expenses to parties not included in the statute is essentially an award from the bankruptcy estate to parties that work outside of and against it. Whether it be through unsolicited efforts by parties that are duplicative of the Trustee's efforts or through procedural planning to deduct expenses from the balance of one's own assets within the estate ("bootstrap"), these courts agree that the decision to award administrative expenses to parties not included in via § 503(b)(3)(D) will only create bigger problems tied to creditor incentives, legislative interpretation, and other policy concerns. *In re Hackney*, 351 B.R. at 203.

The majority in the Thirteenth Circuit, by contrast, draws direct support for its ruling from the Sixth Circuit. *See, e.g.*, *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810 (6th Cir. 2015); *In re Javed*, 2018 WL 4955839, at *4 (Bankr. D. Md. Oct. 11, 2018). *See also In re Maust Transp., Inc.*, 589 B.R. 887, 898-99 (Bankr. W.D. Wash. 2018); *In re Health Trio, Inc.*, 584 B.R. 342, 353-54 (Bankr. D. Colo. 2018); *In re Maqsoudi*, 566 B.R. 40, 44-45 (Bankr. C.D. Cal. 2017) ("[c]oncluding that the subsections of § 503(b)(3) are non-exhaustive, but that the subsections of § 503(b)(3) are exhaustive, would make the application of the statute to situations outside its plain language untenable"). In *Connolly*, the Sixth Circuit reasoned that Congress' use of the word "including" in § 503(b)(3) and principles of equity demonstrated that the statute's list was not exhaustive; courts may therefore allow these expenses

in some chapter 7 proceedings. Some bankruptcy courts have since adopted this line of reasoning, albeit almost blindly. *See In re Health Trio, Inc.*, 584 B.R. 342, 353 (Bankr. D. Colo. 2018) ("Having concluded a party can obtain a substantial contribution in a chapter 7 case").

The Thirteenth Circuit also draws indirect support from the Fifth and Eleventh Circuits. *See, e.g., Al Copeland Enters. Inc. v. Texas (In re Al Copeland Enters., Inc.)*, 991 F.2d 233, 238 (5th Cir. 1993) ("administrative expenses entitled to first priority status are not necessarily confined to those enumerated at 11 U.S.C. § 503(b)") (citing *In Re Flo-Lizer Inc.*, 107 B.R. 143, 145 (Bankr. S.D. Ohio 1989), aff'd, 916 F.2d 363 (6th Cir. 1990)); *Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc. (In re N.P. Mining Co. Inc.)*, 963 F.2d 1449, 1452 (11th Cir.1992). Neither of these cases analyze—nor even mention—section 503(b)(3)(D), when they hold that administrative expenses may nonetheless be awarded to entities not listed under § 503(b).

F. The Thirteenth Circuit's Adoption Of The Minority Position Awarding Administrative Expenses To Weinberg As A Chapter 7 Creditor Is Misguided

To some, it is perhaps admirable to extend the statutory parameters of § 503(b)(3)(D) for purposes of administrative expense claims, but further investigation of the considerations raised by the courts on both sides of the circuit split shows that the Thirteenth Circuit's decision is misguided. Its holding must be reversed. The largest reason for this is that *Connolly* is distinguishable from the case between Weinberg and Clemons in several important respects.

Connolly, though speaking directly on the issue of whether chapter 7 creditors may claim administrative expenses under § 503(b)(3)(D), represents a situation where the nature and extent of the creditor's "substantial contribution" was so crucial to the bankruptcy proceedings that the denial of the creditor's administrative expense claim was almost unconscionable. The creditors

in *Connolly* were met with a U.S. Trustee that, for a number of reasons, had not "fulfilled his duty as the 'bankruptcy watch-dog.'" *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 817 (6th Cir. 2015). This failure ultimately compelled the creditors in *Connolly* to "utilize [their] own resources to … tak[e] action that benefit[ed] the [bankruptcy] estate when no other party [was] willing or able to do so." *Id.* at 818; *see also In re Maust Transp., Inc.*, 589 B.R. 887, 898-99 (Bankr. W.D. Wash. 2018) ("The trustee acknowledged … he did not have sufficient resources to pursue the fraudulent action … it is clear [the creditor's] actions were necessary and instrumental in moving that action forward").

It is largely for this reason, under principles of equity, that the court held that Congress' exclusion of chapter 7 proceedings from § 503(b)(3)(D) does not prevent chapter 7 creditors from making administrative expense claims. When safeguards fail and the duties of the chapter 7 Trustee or the U.S. Trustee are not satisfied, helpful creditors like those in *Connolly* should not be punished for assuming the responsibility of the Trustee in growing the estate. This crucial point in *Connolly*, however, is wholly absent from the instant case between Weinberg and Clemons. There is no showing from the facts that the Trustee required Weinberg's help, or that Weinberg's substantial contribution "benefit[ed] the [bankruptcy] estate when no other party [was] willing or able to do so." *In re Connolly N. Am., LLC*, 802 F.3d at 818. The Thirteenth Circuit's use of this reasoning to support its decision to award Weinberg administrative expenses, therefore, is unfounded.

This line of reasoning is not the only thing the Thirteenth Circuit took from *Connolly* to support its award of administrative expense status to Weinberg for his $25,000 in attorney's fees. In addition to the existence of rare Trustee circumstances, the *Connolly* court further argued the

plain meaning of § 503(b) renders the entities listed in subsection § 503(b)(3)(D) (chapter 9 and 11 creditors) non-exhaustive. In *Connolly*, the court first consulted § 102(3) of the Bankruptcy Code, which provides that the terms "includes" and "including" do not limit the reach of § 503(b)(3)(D). 11 U.S.C. § 102(3). In addition to the code's explanation of the word "including," the *Connolly* court attempted to fortify its argument by noting that nowhere in the code does it say that chapter 7 parties are expressly forbidden from making administrative expense claims.

Thus, according to the Sixth Circuit, it is implied via § 503(b) that "Congress anticipated that bankruptcy courts would encounter a variety of administrative expenses … warranting reimbursement, which it could then evaluate on a case-by-case basis." *In re Connolly N. Am., LLC*, 802 F.3d at 816. The strength of—and merit behind—this portion of the *Connolly* decision is questionable. The court's decision to halt their inquiry of the statute's plain meaning at § 503(b), when the particular section at issue was § 503(b)(3)(D), and to extend the absence of a provision specifically excluding chapter 7 as a basis for the inference that chapter 7 is thus logically includable within it is dubious. If "'resolving the dispute over the meaning of [§ 503(b)] begins … with the language of the statute itself[,]' … [where] Congress 'says in a statute what it means and means in a statute what it says[]'" the court appears to have failed to properly examine the statute under its own standard. *Id.* at 815 (internal citations omitted). This second faltering of the court in *Connolly*, therefore, ultimately renders the Sixth Circuit's decision both unpersuasive and of little probative value to the Thirteenth Circuit's position in this case.

But the Thirteenth Circuit does not stop here. Indeed, it props up its holding on the premise that "[a] statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant." *Vin Sant v. Weinberg (In re*

Backstreets Plowing, Inc.), slip op. at 18 (13th Cir. Mar. 5, 2018) (citing *Hibbs v. Winn*, 542 U.S. 88, 101 (2004) [quotation omitted]). The only way to do that is to acknowledge that administrative expenses other than the statutory examples are permissible. But it is difficult to understand how this premise, when applied to § 503(b)(3)(D), would not render this subsection—which only mentions chapter 9 and 11 bankruptcy proceedings as eligible for administrative expense claims—entirely superfluous if chapters not mentioned in this subsection are likewise eligible.

Instead of reading into the statute what is not there through the minority's refutation of the precept *expressio unius est exclusio alterius* (meaning to include one thing implies the exclusion of another), the courts in *In re Blount*, 276 B.R. 753, 764 (Bankr. M.D. La. 2002) and *U.S. Trustee v. Farm Credit Bank (In re Peterson)*, 152 B.R. 612, 614 (D.S.D. 1993), for example, interpret the inclusion of § 503(b)(3)(D) differently. In *Blount*, the court pointed to the logical reality that the inclusion of chapter 7 proceedings would render subsection 503(b)(3)(D) totally meaningless, as:

> [T]he language of the specifically enumerated provisions establishes that certain possible avenues for reimbursement are precluded by those that are included. To expand the situations expressly covered by the Section to include…circumstances failing to meet the requirements of those explicitly stated situations would effectively contradict the conditions of expense recover which are expressly stated.

In re Blount, 276 B.R. at 764 (Bankr. M.D. La. 2002). Stated differently, the decision of these courts to deny administrative expense awards to entities based on what is expressly mentioned within § 503(b)(3)(D), should be preferred to the decisions in *Connolly* and lower courts following it, which instead drew inferences from what is not expressly forbidden by the statute *See, e.g.*, *In re Javed*, 2018 WL 4955839, at *4 (Bankr. D. Md. Oct. 11, 2018); *In re Maust*

Transp., Inc., 589 B.R. 887, 898-99 (Bankr. W.D. Wash. 2018); *In re Health Trio, Inc.*, 584 B.R. 342, 353-54 (Bankr. D. Colo. 2018); *In re Maqsoudi*, 566 B.R. 40, 44-45 (Bankr. C.D. Cal. 2017). This same reasoning is echoed, by this Court when it maintained that "it is a commonplace of statutory construction that the specific governs the general." *Morales v. TWA*, 504 U.S. 374 (1992) (citing *Crawford Fitting Co v. J.T. Gibbons, Inc.*, 482 U.S. 437, 445(1987).

A final point about the importance of adhering to the plain, literal meaning of §503(b)(3) and § 503(b)(3)(D) worth noting here is that the legitimacy of majority view is so well-recognized by some courts—including the Sixth Circuit—that it is even used to substantiate other statutory analyses under the Bankruptcy Code. *See, e.g.*, *Hyundai Translead, Inc. v. Jackson Truck & Trailer Repair, Inc. (In re Trailer Source, Inc.)*, 555 F.3d 231, 243 (6th Cir. 2009) ("[T]here is no textual support in the code for drawing such a distinction between chapter 7 and chapter 11 contexts … We do not believe this was mere oversight, given that Congress expressly limited another subsection of § 503(b)(3) to chapters 9 and 11"). There is, on balance of the competing views of the circuit split, a strong indication that chapter 7 administrative expenses may not be granted under § 503(b). In a contest between the dictionary and the doctrine of *stare decisis*, the latter clearly wins. *See Hibbs v. Winn*, 542 U.S. 88, 101 (2004).

The most concrete source of guidance to this Court on the question of whether Weinberg should be awarded administrative expenses, though left largely unaddressed by the both the Sixth Circuit majority in *Connolly*–and left completely unaddressed by the Thirteenth Circuit–is the legislative history of § 503(b).

The legislative history of the statute sheds much needed light on what Congress intended to allow as administrative expenses when it wrote and amended § 503(b). The statute was re-created from the prior Bankruptcy Act of 1898 section 64a, which provided the order of priority

for payments to creditors, including administrative expenses. *See* 4 Collier on Bankruptcy P 503.LH (16th 2018). Although § 503(b) did endure two rounds of amendments, the first in 1994 and the second in 2005, the specific text of § 503(b) has not changed from its current form. In 1994, subsection (F) was added to § 503(b)(3) to allow for administrative expenses for official committee members. In 2005, section 503(b)(1)(A)(ii), section 503(b)(1)(D), and subsections (A), (B), (C), (D), and (E) were added to § 503(b)(3) to grant administrative expenses to many other parties in bankruptcy proceedings. The fact remains that nothing in the legislative history of § 503(b) suggests that Congress ever intended *sub silentio* for chapter 7 creditors to claim administrative expenses. *See TRW Inc. v. Andrews*, 534 U.S. 19, (2001). Indeed, it is hard to deny that prolonged congressional silence throughout years of amendments to this statute provides powerful support for maintaining the status quo. *See Hibbs v. Winn*, 542 U.S. 88, (2004).

Despite the evolution of § 503(b) via its fairly succinct legislative history, some courts have tried to consult the statute's trajectory in a way similar to the negative inference-based reasoning of the courts that upheld the minority position regarding chapter 7 administrative expense claims. *See, e.g.*, *In re Javed*, 2018 WL 4955839, at *4 (Bankr. D. Md. Oct. 11, 2018); *In re Health Trio, Inc.*, 584 B.R. 342, 353-54 (Bankr. D. Colo. 2018); and *In re Maqsoudi*, 566 B.R. 40, 44-45 (Bankr. C.D. Cal. 2017). A literal application of the statute's language, which Congress assumed the courts would employ in their statutory analyses, however, does not produce a result demonstrably at odds with the intentions of its drafters. *See e.g.*, *U.S. Trustee v. Farm Credit Bank (In re Peterson)*, 152 B.R. 612, 613 (D.S.D. 1993).

The court in *In re Maust Transp., Inc.*, for example, used a pre-Bankruptcy Code case to argue that Congress' carrying over of interest expense claims under the New Bankruptcy Code

therefore also meant that administrative expense claims were allowed. 589 B.R. 887, 898-99 (Bankr. W.D. Wash. 2018) (citing *In re Mark Anthony*, 886 F.2d 1101, 1106). It is difficult to understand, however, how the court in *Maust*—which admitted that the case "does not appear to … support[] the allowance of chapter 7 substantial contribution claim[s]"—could even rely on pre-Bankruptcy Code precedent to interpret the legislative history of the Code itself. One cannot, in other words

> determine [a statute's] ambiguity, by relying on the grammatical soundness of prior statute[s]. That contention is wrong. The starting point for discerning congressional intent is the existing statutory text . . . [T]here is no reason, other than a drafting error, that Congress would have rewritten the statute to produce a grammatically incorrect provision.

Lamie v. United States Tr., 540 U.S. 526, 534 (2004). Here again, the totality of the circumstances shows—as a matter of congressional record—that the proper interpretation of the statute is thus: Chapter 7 administrative expense claims are not, and were never intended to be, included under § 503(b)(3) and § 503(b)(3)(D). The Thirteenth Circuit's ruling to the contrary must be reversed.

The final reason that Weinberg's request for administrative expenses status under § 503(b)(3)(D) for attorney's fees must be reversed is that the equitable and policy arguments raised on both sides of the circuit split, though admittedly less central to the issue than other arguments raised herein, nonetheless fortify the majority position. These arguments include the need to protect and preserve the value of the estate for all creditors; the need to prevent the deterrence of creditor participation in bankruptcy proceedings and to uphold the fundamental notion of bankruptcy as equitable relief; the requirement that benefits to the estate not be incidental to the benefit of the person providing the services; and that bankruptcy proceedings are intended to stop the race to the courthouse by individual creditors to allow the debtor to catch

her financial breath, which benefits the debtor's creditors by preventing the debtors assets from being captured by particular creditors. *See, e.g.*, *In re Connolly*, 802 F.3d 810 (6th Cir. 2015); *In re Javed*, 2018 WL 4955839, at *4 (Bankr. D. Md. Oct. 11, 2018) (citing *In re Schwartz-Tallard*, 803 F.3d 1095, 1100 (9th Cir. 2015)); *Ins. Co. of N Am. V. Sullivan*, 333 B.R. 55, 67-68 (D. Md. 2005).

Ultimately, the sum application of these considerations to the facts of the instant case only fortifies the conclusion that Weinberg's "substantial contribution" to the estate through his efforts to collect on Clemons' personal guarantee should not be given administrative expense priority under § 503(b)(3). This sort of procedural maneuvering by Weinberg in hiring external legal representation was not "necessary to fill a void left by a trustee breaching its obligations to the estate … and [the expenses] were incurred, not to preserve the estate, but to preserve [his] own interest in the estate." *In re Fontainebleau Las Vegas Holdings, LLC*, 574 B.R. 895, 904 (Bankr. S.D. Fla. 2017) (internal citation omitted). Notwithstanding that there are perhaps other policy concerns weighing in favor of allowing administrative expense claims under § 503(b)(3), those policy concerns are outweighed by the need to maintain the Trustee's primary responsibility to settle the estate and to avoid unnecessary and duplicative work by eager creditors. It is for these reasons that courts like the Seventh Circuit maintain that "the function of equitable considerations in a bankruptcy proceeding is to guide the division of a pie that is too small to allow [creditors] to get the slice for which [they] originally contracted," not to authorize bankruptcy courts to do whatever is necessary to reach an equitable result. *In re Fesco Plastics Corp., Inc*., 996 F.2d 152, 157 n.5 (7th Cir. 1993).

G. The $25,000 In Legal Fees Incurred By Weinberg Upon Litigating Clemons' Personal Guarantee Were Not Actual, Necessary, Nor Reasonably Related To The Debtor's Estate And Therefore Ineligible For Administrative Expense Status Under § § 503(b)(3)(D)

Even if this Court finds that the Bankruptcy Code allows administrative expense status for substantial contributions made by creditors a chapter 7 case, it nevertheless should deny Weinberg's request in this matter.

Administrative expense claims for substantial contributions made by a creditor in a chapter 7 case should be granted to the "rare chapter 7 creditors who are forced by circumstances to take action that benefits the [bankruptcy] estate when no other party is willing or able to do so." *Mediofactoring v. McDermott* (*In re Connolly N. Am., LLC)*, 802 F.3d 810, 818 (6th Cir. 2015). A simple determination of whether a benefit was conferred upon the bankruptcy estate does not end the inquiry of whether a substantial contribution was made pursuant to § 503(b)(3)(D). *Lebron v. Mechem Fin.*, 27 F.3d 937, 946 (3d Cir. 1994). In such determinations, the creditor is presumed to be acting in its own self-interest "unless the court is able to find that his or her actions were designed to benefit others who would foreseeably be interested in the estate." *Id.* Indeed, the court should evaluate on a case-by-case basis whether the act of the creditor benefitted the bankruptcy estate and its creditors, and whether those expenses were "actual, necessary, and reasonable." *In re Connolly,* 802 F.3d at 816.

In *Connolly,* the creditors substantially contributed to the estate in a matter which a trustee could not. The *Connolly* court specifically mentioned the fact that parties responsible for prosecuting claims and protecting the estate failed to do so in this instant. But for that failure, "there is no question that the estate would have paid the expenses associated with removing the former trustee and prosecuting the malpractice action." *Id.* at 817.

In the present case, the Trustee acknowledges that Weinberg made a substantial contribution to the chapter 7 estate when he divulged information that led to quick settlement of

a fraudulent transfer claim. That issue is not in dispute. However, a more thorough analysis of the timeframe and circumstances of Weinberg's actions will demonstrate that the expenses incurred by Weinberg were not actual, necessary, nor reasonable.

Prior to its conversion to a chapter 7 liquidation case, Backstreets Plowing filed a petition for a chapter 11 reorganization. Weinberg did not contribute to the reorganization effort. He hindered it. As briefed in the first issue, instead of relinquishing possession of the snow plow trucks, Weinberg retained possession of them, thereby effectively thwarting the reorganization effort. Shortly after its reorganization effort proved futile, Backstreets Plowing voluntarily converted the chapter 11 to a chapter 7. A Trustee was appointed on April 13, 2017. A month later, Weinberg, voluntarily and without consultation from the Trustee, hired a collection law firm that conducted an examination of Clemons that discovered the fraudulent transfer. Weinberg voluntarily conveyed that information to the Trustee, and claims he spent $25,000 to obtain the information.

Weinberg obtained judgments against Backstreets Plowing and Clemons prepetition for $450,000 that was owed on a promissory note. While Weinberg was stayed from collecting judgment against Backstreets Plowing, Inc. in state court, he was not stayed from collecting against Clemons. Weinberg pursued that route. As part of the state court litigation, Weinberg incurred attorney fees he would have incurred regardless of the bankruptcy. In his search of assets belonging to Clemons, he came across the fraudulent transfers conducted by Backstreets Plowing, Inc. Weinberg's expense was not an actual expense he incurred while acting selflessly to substantially contribute to the bankruptcy estate. It was an expense that he incurred outside of the bankruptcy case while pursuing a judgment against Clemons.

Weinberg's request to have his attorney's fees paid as an administrative expense under § 503(b)(3)(D) should be denied because Weinberg incurred the fees in a manner designed to circumvent the bankruptcy estate entirely. In choosing to pursue the collection of his debts by suing Clemons on the personal guarantee given to Weinberg by Clemons, instead of on the security interest granted to Weinberg by the Backstreets Plowing, Inc., Weinberg purposely and effectively spent $25,000 in legal fees to escape the limits imposed on creditors by the automatic stay and priority structure within chapter 7 proceedings. This careful procedural planning by Weinberg, though technically legal, nonetheless demonstrates a clear intention to pursue the collection of Weinberg's debt only, as no other creditors were attached to the guarantee. The fact that the efforts of Weinberg's attorneys in this respect inadvertently led to the discovery of a fraudulent transfer by Backstreets Plowing, Inc. does not alter the origins of those efforts, nor does it transform the fees associated with them into expenses spent in furtherance of the bankruptcy estate.

Selfish creditor behavior should not be rewarded by providing the creditor's expenses priority status. Weinberg should not be rewarded at the expense of other creditors for discovering information otherwise discoverable by the Trustee.

CONCLUSION

For the forgoing reasons, Petitioners respectfully request that this Court reverse the United States Court of Appeals for the Thirteenth Circuit.

Respectfully submitted,

/s/_____

January 21, 2017

Counsel for Petitioners